Working of TMFs

TMFs invest in securities mirroring its underlying index. The TMFs hold the securities in their portfolio till maturity and accrue the interest (coupon) paid by the securities. On maturity of the scheme, investors can receive the principal and all the accrued interest. The interest rate changes have no impact on the returns if the securities are held till maturity and all the securities in TMFs mature on or before the maturity date of the scheme.

So, by holding the securities, say bonds till maturity, TMFs roll down maturities, which mean the maturity reduces with the tenure of the investment. Further, the interest rate sensitivity of a bond is directly linked to the bond maturity or duration. For instance, if one invests in a 5-year bond and holds it till maturity; after the first year, the residual maturity of the bond will be 4 years, so the interest risk will be lower. Similarly, after two years, the residual maturity of the bond will be 3 years, so the interest risk will be lower. In this manner, the interest rate risk reduces over the tenure of the investment in TMFs.

The interest (coupons) received by a TMF from the securities in its portfolio are re-invested in the underlying bond index. At the same time the NAV of the fund varies on a daily basis due to demand and supply in the bond market. This variation in NAV is the duration risk and the longer the duration of the bond, the higher the fluctuations. Suppose, a bond fund manager buys and holds 5-year bonds, the NAV fluctuations in the first year of holding will be highest. It will be lower in the subsequent years. So if the target maturity date is say five years later, the fund manager will buy bonds maturing a month or so before the fund maturity date which will result in NAV growth with progressively decreasing volatility.

Depending on whether the TMF is an index fund or ETF; you will need to have a demat account if it is an ETF. As an investor, if you plan to stay invested till the defined target maturity date, the maturity proceeds will be credited to your account, upon maturity of the ETF. However, if you plan to sell the ETF units before the maturity date, then you will have to sell it in the stock exchange at market prices.

Target Maturity Funds (TMFs) help investors navigate the risks associated with debt funds better by aligning their portfolios with the maturity date of the fund.

In the absence of demat account; you can invest in target maturity index funds, which are similar to any other open-ended funds. In such cases, you can redeem units of your target maturity index funds with the AMC at any time subject to exit load structure of the scheme. But, at the time of maturity; the redemption proceeds of your target maturity index fund units will be credited to your bank account.

As currently TMFs are mandated to invest in securities like GSecs, SDLs, PSU Bonds etc.; they carry lower default risk compared to other debt funds. The open-ended structure and liquidity to exit this fund when needed makes them an investment option to consider. Investors looking for low volatility in debt instruments and some form of predictable returns with tax efficiency can consider investing in TMFs for the medium- to long-term, especially if you can hold these investments till maturity. ●

Target Maturity Funds upside

A lot depends on the strategy adopted by the fund, but there are positive aspects when investing in these funds

1 ***Flexibility:*** These funds invest in bonds of varying tenures that look attractive at a given point in time. Mostly, these funds work on decreasing residual maturity, which means each passing year, the maturity of the underlying bonds keeps reducing. In this manner, the duration risk goes down, even as defined maturity date approaches making the returns from this fund predictable.

2 ***Interest Rate Movements:*** These funds have less interest rate risk than traditional bond funds. This is because TMFs hold the bonds until maturity. In this way, the fund's returns at the time of maturity are protected from the impact of changing interest rate scenarios.

3 ***Tax Efficiency:*** Investment in these funds is tax-efficient compared to traditional investment avenues invested for over 3 years. In case of holdings being short-term in nature, that is, investments are held for less than 3 years, short-term capital gains are applied, which is treated similarly for both traditional investments and these funds.

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Mutual Fund investments are subject to market risks, read all scheme related documents carefully.

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